As the industry grew so did the competition leading to high marketing costs. Money comes when the markets climb as the net asset values start going up. There is a scramble to get in and fund managers are pressured to invest in a rising market at inflated asset prices. However, when the market falls the net asset values fall and the investors pull out forcing fund managers to sell the portfolio at depressed prices to meet the redemptions. The basic principle of buying when prices are depressed and others are selling, and selling when prices are high and others are buying is not workable. Fund managers are forced to act in a way that does not conform with the basic investment principles. Their decisions are being controlled by the environment.

Fund Manager's Behaviour

Because of the pressure to perform in the short run, fund managers chase each other's net asset values rather than follow sound investment strategies. When the Information, Communication, and Entertainment (ICE) sector moved up in 1999, fund managers chased those stocks, and prices rose steeply. Most of them had the same ICE stocks among their top holdings. At the time of the rise of public sector undertakings in the oil sector, most of them had ONGC, BPCL and HPCL as their top holdings. Then when the fad passed, they competed to sell and depressed the prices. It is obvious that the herd mentality is what drives them to make decisions. Newspapers and financial journals report quarterly performance of funds. Influenced by this news, investors enter and exit funds forcing fund managers to change strategies midway. They are thus forced to keep up with market trends and this affects their performance. Also, the practice of offering bonuses and rewards for turning in short-term profits, rather than for following a sound investment strategy, forces them to adopt short-term strategies. As a result it is the investors who lose. For if making short-term money were so simple, in the market he would not be a fund manager, he would be busy making money for himself playing the market.

This is not to say that all fund managers are mediocre. The Indian capital market does have some very good talent and we